Case Blitz
PROJECT ASCEND

Team Code: BVVT-ZXPK

EXECUTIVE SUMMARY

REDEFINED PROBLEM STATEMENT

THE GEN-Z DO NOT HAVE ACCESS TO RESPONSIBLE CREDIT AND KNOWLEDGE OF FINANCE, MAKING THEM PRONE TO DEBTS AND HIDDEN CHARGES.

THE CHALLENGE: HELP FIRST-TIME BORROWERS ACCESS CREDIT AND MANAGE THEIR FINANCES WITHOUT DEFAULTING.

VISION

ASCEND AIMS TO OFFER AN AFFORDABLE CREDIT AND FINANCIAL INDEPENDENCE TO VERIFIED USERS EVEN WITH MINIMAL CREDIT HISTORY.
THIS INITIATIVE SEEKS TO HELP LENDERS IDENTIFY CREDIBLE CUSTOMERS WHO CAN PAY BACK LOANS USING THE RECORD OF THEIR FINANCIAL BEHAVIOR.

STRATEGY

1. FACILITATING LOANS: BRIDGE CUSTOMERS AND NBFC's WITHOUT BEING LENDERS THEMSELVES.
2. HONEST & LOW-COST CREDIT OPTIONS: OFFERING COMPETITIVE INTEREST RATES WITH NO HIDDEN FEES WHATSOEVER.
3. PRIVACY AND INDEPENDENCE: BORROWING LOANS HASSLE-FREE WITHOUT BEING HARASSED OR INTERRUPTED BY THIRD-PARTIES.
4. BUILDING CREDITWORTHINESS: RECORDING LOAN REPAYMENT HISTORY TO ESTABLISH CREDIT RECORDS FOR FURTHER LOANS.
5. FINANCE AWARENESS: EDUCATING CUSTOMERS TO BE RESPONSIBLE BORROWERS AND REPAY LOANS DILIGENTLY.

MARKET ANALYSIS

SOURCE : CASE DATA + CITATIONS

INDIANS AGED 18-24

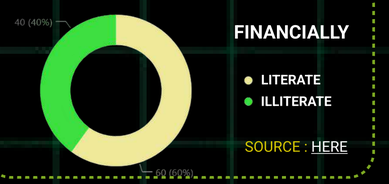
~15 crore

APPLICATIONS REJECTED FOR FIRST CREDIT CARD

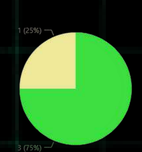
80%

INTEREST ON INSTANT LOAN APPS
(LOW CREDIT SCORE)

30% to 60% p.a.



SOURCE : HERE

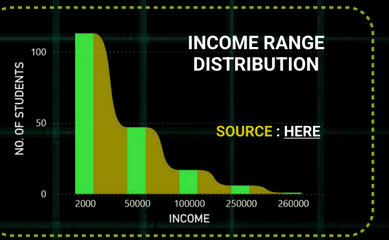


REPAYMENTS MISSED ONCE

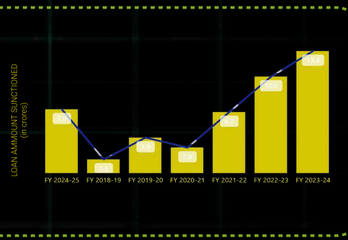
25%

GEN Z USING UPI

90%



SOURCE : HERE

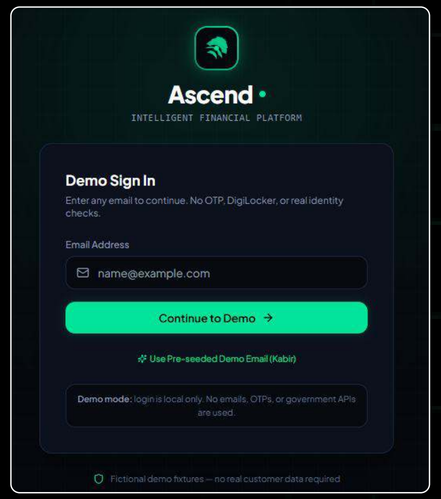


AVERAGE INCOME OF A COLLEGE STUDENT

₹4k - ₹15k

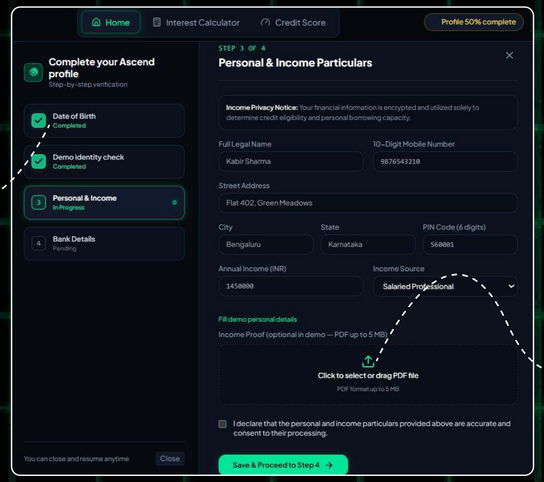
USER JOURNEY

1. USER LOGIN



ENSURES 18+

2. PROFILE COMPLETION



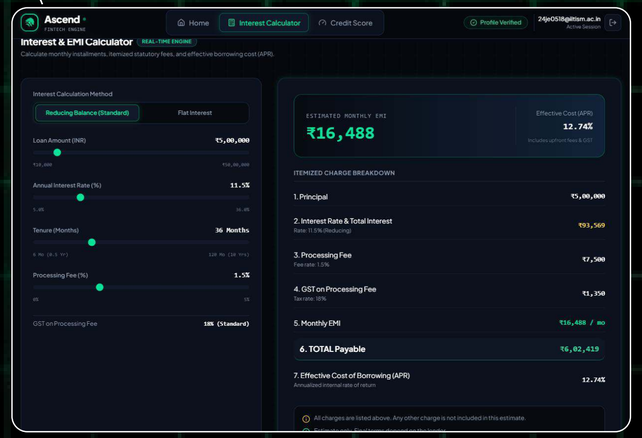
KYC COMPLETION

INTEREST CALCULATOR

3. CHECK CREDIT SCORE



4. APPLY FOR A LOAN



The BEACHHEAD

Kabir



AGE: 23
CITY: GURUGRAM
WORKING PROFESSIONAL
EARNS ₹45,000 PER MONTH

PAIN POINTS

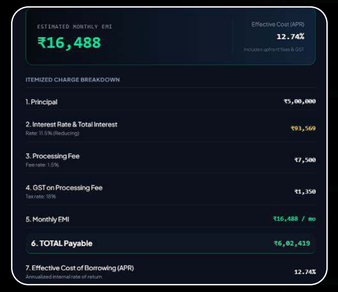
- A LIFESTYLE THAT OUTPACES HIS EARNINGS.
- RELIES ON HIS FATHER'S ADD-ON CREDIT CARD FOR LARGE PURCHASES, WHICH CREATES GUILT AND AN UNCLEAR REPAYMENT PATH
- FOLLOWS 3 FINFLUENCERS, SOME OF WHOM GIVES PROMOTIONAL, PAID ADVISE AND UNCLEAR REPAYMENT PATH
- HAS STARTED TRADING OPTIONS, EXPOSING HIM TO HIGH FINANCIAL RISK, WITHOUT ANY COMPELLING RATIONALE

GOALS

- BUY THE LATEST PHONE AND FUND AN INTERNATIONAL TRIP WITHOUT DEBT HE FEELS ASHAMED OF
- BUILD FINANCIAL INDEPENDENCE FROM HIS FATHER'S CREDIT LINE
- MAKE INVESTMENT DECISIONS BASED ON VERIFIED, UNBIASED INFORMATION
- ENJOY ASPIRATIONAL SPENDING WHILE STAYING WITHIN A SUSTAINABLE BUDGET

SOLUTION

INTEREST CALCULATOR



ENCOURAGES FINANCIAL AWARENESS BY GIVING AN ACCURATE PICTURE OF THE INTEREST RATE, EMI's AND REPAYMENT AMOUNT

HOWEVER, BEFORE TAKING UP ANY LOAN, BORROWERS HAVE TO CHECK IF IT'S AFFORDABLE FOR THEM.

ASCEND CREDIT CARD

PROVISION OF A CREDIT CARD ENABLES CONVENIENT, FLEXIBLE PAYMENTS WHILE HELPING USERS BUILD CREDIT HISTORY.

HOWEVER, TIMELY REPAYMENTS ARE ESSENTIAL TO AVOID INTEREST ACCUMULATION AND DAMAGE TO CREDITWORTHINESS.

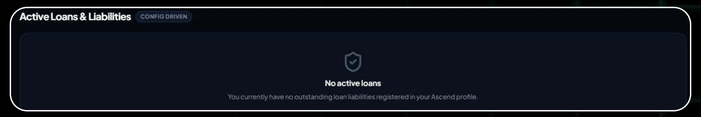


ASCEND

PERSONAL LOANS

ACCESS TO BIGGER MONEY THROUGH PARTNER NBFCs AT FAVORABLE INTEREST RATES WITHOUT ANY COERCION OR HIDDEN COSTS. ATTRACTIVE FOR USERS WISHING TO LEAD AN INDEPENDENT LIFESTYLE

INCURRED DRAWBACK: THE BORROWERS NEED TO BE SURE THAT THEY ARE CAPABLE OF REPAYING THE EMIS WITHOUT DIFFICULTY.



ASCEND CREDIT SCORE

EVALUATES USERS' CREDIT BEHAVIOUR AND REPAYMENT PATTERNS, SERVING AS A GUARDRAIL TO DISTINGUISH RESPONSIBLE BORROWERS FROM HIGH-RISK USERS AND BUILD TRUST WITH FUTURE LENDERS.

HOWEVER, MAINTAINING A HEALTHY SCORE REQUIRES CONSISTENT FINANCIAL DISCIPLINE AND TIMELY REPAYMENTS.



BUSINESS MODEL

1. INTEREST RATE SPREAD :

ASCEND MAY MAKE A PROFIT ON LENDING IF IT IS WORKING UNDER A LENDING SCHEME THAT IS ALLOWED UNDER THE LAW. PARTNER LENDERS PROVIDE FINANCING AT ONE RATE AND LEND AT A HIGHER RATE, AND THE GAP SERVES TO GENERATE PROFIT FROM LENDING. IN CASE ASCEND JUST FUNCTIONS AS A MARKETPLACE/LSP, THEN IT GOES TO THE LENDER, NOT ASCEND.

2. PROCESSING & PLATFORM FEES :

REVENUE FROM THE DISCLOSED FEES CHARGED FOR PROCESSING AND/OR PLATFORM SERVICES, WHERE PERMITTED BY LAW AND CONTRACTUAL TERMS. THE FEES MUST BE CLEARLY STATED, AS WELL AS THE APPLICABLE GST.

3. B2B PARTNER COMMISSIONS :

ASCEND FACILITATES THE CONNECTION BETWEEN POTENTIAL BORROWERS AND THE PARTNER BANKS AND NBFCS. ASCEND MAY RECEIVE REFERRAL FEES, LEAD GENERATION FEES, OR LOAN ORIGINATION FEES DEPENDING ON THE ARRANGEMENTS THAT ASCEND MAKES WITH THE RESPECTIVE PARTNERS.

4. CREDIT INSURANCE & FINANCIAL PROTECTION :

ASCEND COULD RECEIVE AN APPROVED COMMISSION ON MARKETING APPROPRIATE CREDIT-PROTECTION AND INSURANCE PRODUCTS THROUGH APPROVED AGENTS. WHERE INSURANCE IS MANDATED, IT SHOULD ALWAYS REMAIN OPTIONAL, WITH FULL DISCLOSURE AND WITHOUT FORCED BUNDLING.

COMPETITOR ANALYSIS

Parameter	ASCEND	KreditBee	Navi	MoneyView	Fibe
Maximum Loan	₹10 lakh	₹5 lakh	₹20 lakh	₹10 lakh	₹5 lakh
Interest Rate (p.a.)	10–12%	12–28.5%	9.9–29%	15.96% onwards	12–30%
Processing Fee	1.8–2.5% + GST	Varies	0–4% + GST	~2%	Varies
Minimum Credit Score	800 (ASCEND Score)	Not required	650+	600+	Not required
Minimum Monthly Income	₹45,000	₹10,000	₹15,000	₹13,500	₹15,000
Target Segment / Best For	Medium loans	First-time borrowers	Fast, large NBFC loans	Low CIBIL, flexible eligibility	Young salaried, fast approval

THE ENTRY PRODUCT:
WE WILL OFFER A SMALL-TICKET, LOW-LIMIT FIRST LOAN THROUGH PARTNER NBFC'S, WITH TRANSPARENT INTEREST RATES AND NO HIDDEN FEES.

THE UNDERWRITING:
WE SHALL ASSESS IDENTITY VERIFICATION, FINANCIAL BEHAVIOR AND REPAYMENT CAPACITY TO DETERMINE ELIGIBILITY AND INITIAL LIMITS.

THE GUARDRAILS:
WE WILL SET AFFORDABLE INITIAL LIMITS AND SEND TIMELY REMINDERS WITHOUT SHAMING USERS. IF DIFFICULTIES EMERGE, WE WILL RESTRICT ADDITIONAL BORROWING.

THE LEARNING LAYER:
ASCEND WILL PROVIDE SHORT, INTERACTIVE FINANCIAL TIPS AND PROVIDE EXPOSURE TO INTEREST CALCULATION DUE TO PREVENT OVERSPENDING.

METRICS & RISKS

NORTH STAR METRIC :

SUCCESSFUL FIRST-LOAN REPAYMENT RATE

THE PERCENTAGE OF FIRST-TIME BORROWERS WHO COMPLETE THEIR FIRST LOAN BY MAKING ALL SCHEDULED REPAYMENTS ON TIME.

SUCCESSFUL FIRST-LOAN REPAYMENT RATE(N.S.M.)

$$= \frac{\text{FIRST-TIME BORROWERS WHO REPAY ON TIME}}{\text{FIRST-TIME BORROWERS WHOSE FIRST LOAN REPAYMENT PERIOD IS COMPLETE ON TIME}}$$

MISSED PAYMENT RATE

$$= \frac{\text{BORROWERS WITH ≥1 REPAYMENT DUE IN THE PERIOD}}{\text{BORROWERS WHO MISS ≥1 SCHEDULED REPAYMENT}} \times 100$$

MONTHLY FUNDED FIRST-TIME BORROWERS

= TOTAL NUMBER OF FIRST-TIME BORROWERS

RISK METRIC :

MISSED PAYMENT RATE

THE PERCENTAGE OF BORROWERS WHO MISS AT LEAST ONE SCHEDULED LOAN REPAYMENT DURING A GIVEN PERIOD.

BUSINESS METRIC :

MONTHLY FUNDED FIRST-TIME BORROWERS

THE NUMBER OF UNIQUE FIRST-TIME BORROWERS WHO SUCCESSFULLY RECEIVE LOANS FROM NBFC PARTNERS THROUGH ASCEND EACH MONTH.

LINKAGE BETWEEN KEY METRICS



LEVEL 1

FINANCIAL EDUCATION + TRANSPARENT LOAN COMPARISONS + AFFORDABILITY GUIDANCE + REPAYMENT REMINDERS

LEVEL 2

BETTER-INFORMED BORROWING DECISIONS AND IMPROVED REPAYMENT HABITS

LEVEL 3

NORTH STAR : MORE FIRST-TIME BORROWERS SUCCESSFULLY REPAY THEIR LOANS ON TIME

LEVEL 4

RISK : FEWER BORROWERS MISS THEIR SCHEDULED REPAYMENTS

LEVEL 5

BUSINESS : HEALTHIER REPAYMENT OUTCOMES CAN STRENGTHEN NBFC CONFIDENCE IN ASCEND, HELPING THE PLATFORM CONNECT MORE ELIGIBLE FIRST-TIME BORROWERS WITH CREDIT

THANK YOU!!